

5-2g Dual Nature of Merchandise Transactions

Each merchandising transaction affects a buyer and a seller. In the illustration shown in [Exhibit 10](#), the same transactions for a seller and buyer are recorded. In [Exhibit 10](#), the seller is Scully Company and the buyer is Burton Co.

Exhibit 10

Illustration of Inventory Transactions for Seller and Buyer

Transaction	Scully Company (Seller)		Burton Co. (Buyer)	
July 1. Scully Company sold merchandise on account to Burton Co., \$7,500, terms FOB shipping point , n/45. The cost of the goods sold was \$4,500.	Accounts Receivable—Burton Co. ...	7,500	Inventory	7,500
	Sales.....	7,500	Accounts Payable—Scully Co. ..	7,500
	Cost of Goods Sold	4,500		
	Inventory	4,500		
July 2. Burton Co. paid freight of \$150 on July 1 purchase from Scully Company.	No journal entry.		Inventory	150
			Cash.....	150
July 3. Scully Company sold merchandise on account to Burton Co., \$5,000, terms FOB destination , n/15. The cost of the goods sold was \$3,500.	Accounts Receivable—Burton Co. ...	5,000	Inventory	5,000
	Sales.....	5,000	Accounts Payable—Scully Co. ..	5,000
	Cost of Goods Sold	3,500		
	Inventory	3,500		
July 7. Scully Company paid freight of \$250 for delivery of merchandise sold to Burton Co. on July 3.	Delivery Expense 250 Cash..... 250		No journal entry.	
July 17. Scully Company received payment from Burton Co. for purchase of July 3.	Cash	5,000	Accounts Payable—Scully Co.	5,000
	Accounts Receivable—Burton Co.	5,000	Cash.....	5,000
July 18. Scully Company sold merchandise on account to Burton Co., \$12,000, terms FOB shipping point , n/eom. Scully Company prepaid freight of \$500, which was added to the invoice. The cost of the goods sold was \$7,200.	Accounts Receivable—Burton Co. ...	12,000	Inventory	12,500
	Sales.....	12,000	Accounts Payable—Scully Co. ..	12,500
	Accounts Receivable—Burton Co. ...	500		
	Cash	500		
	Cost of Goods Sold	7,200		
	Inventory	7,200		
July 22. Scully Company paid Burton Co. a refund of \$750 for merchandise damaged in the July 3 purchase. Burton kept the merchandise.	Customer Refunds Payable 750 Cash..... 750		Cash	750
			Inventory	750
July 31. Scully Company received payment from Burton Co. for purchase of July 18.	Cash	12,500	Accounts Payable—Scully Co.	12,500
	Accounts Receivable—Burton Co.	12,500	Cash.....	12,500
July 31. Scully Company granted a customer allowance (credit memo) to Burton Co. for \$2,500 for merchandise returned from July 1 purchase. The cost of the merchandise returned was \$1,500.	Customer Refunds Payable	2,500	Accounts Payable—Scully Co.	2,500
	Accounts Receivable—Burton Co.	2,500	Inventory	2,500
	Inventory	1,500		
	Estimated Returns Inventory....	1,500		

Chapter 5: Accounting for Retail Businesses: 5-2g Dual Nature of Merchandise Transactions

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